

MOSSSEL BAY GOLF ESTATE HOME OWNERS ASSOCIATION NPC

Member Correspondence

To:

The Board of Directors
Mossel Bay Golf Estate HOA NPC
Via: Status Mark (Managing Agent)
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From:

I. Jacobs (Izak Jacobs)
Member — Erf 15227
114 Myrica Drive, Mossel Bay Golf Estate
Date: 19 June 2026

RE: Access Control Newsflash — 18 June 2026**Dear Board,**

Thank you for the Access Control Update of 18 June 2026 and for the ongoing work of the Access Control Sub-Committee. As a member I wish to share some observations and background context that I believe the Board and all members should have before this matter progresses further. These comments are offered in the spirit of informed and transparent governance, which I know the Board shares as an objective.

1. The History of Security on the Nature Reserve Boundary

Members will benefit from understanding the full sequence of decisions taken on the Nature Reserve / St Blaize boundary before forming a view on the 2026 proposal. The record is as follows:

Year	Decision	Outcome	Process
2012	Ordinary Resolution 1 — perimeter palisade fencing of Nature Reserve boundary	NOT ACCEPTED — 156 against, 11 in favour (93.4% rejection)	Correctly tabled at AGM under Article 31.1
2020	Ordinary Resolution — camera-based 'Iron Curtain' on Nature Reserve boundary. R500,000 capital approved	ACCEPTED by members. Contractor appointed and R400,000 paid. Contractor defaulted on obligations and subsequently died. R400,000 unrecoverable from deceased estate. Forensic report commissioned.	Correctly tabled at AGM under Article 31.1
2nd AGM	Second R500,000 approved to complete the Iron Curtain installation	ACCEPTED by members. Project completed via signed MOU with Mossel Bay Municipality (Council Resolution E30-02/2022). Twelve cameras installed on Erf 3438 (municipal property), integrated with the Municipality's Joint Operation Centre.	Correctly tabled at AGM under Article 31.1
2026	Access Control Sub-Committee investigates physical perimeter fencing. Resident poll distributed via managing agent.	No decision taken. No performance report on the existing camera system provided to members.	No member resolution tabled

Members have approved and funded over R900,000 on security measures specifically for this boundary across two separate AGM resolutions. A forensic report was commissioned into the loss

of R400,000 of those funds. Members have not received that report, nor any assessment of the effectiveness of the completed camera system.

2. The Central Question the Board Must Answer

The 2020 AGM resolution described the camera installation as a "complete Iron Curtain" that would provide early detection and monitored response capability along the Nature Reserve border. Members approved this concept twice and funded it to completion.

This gives rise to a straightforward but important question that the Board should address openly before members are asked to provide input on any alternative:

If the Iron Curtain camera system is working effectively, Mossel Bay Golf Estate already has a secure, monitored southern boundary — and the 2026 proposal and poll become irrelevant. If it is not working effectively, members are owed a full explanation of why R900,000 of their funds did not achieve the intended outcome before any further expenditure on the same boundary is considered.

There is no comfortable middle ground between these two positions. The Board is respectfully asked to provide members with a clear and honest assessment of the current effectiveness of the camera system as the essential first step in this process.

3. Lifestyle Estate vs. Fully Enclosed Security Estate — What the Distinction Means in Practice

The Newsflash correctly notes that Mossel Bay Golf Estate is currently classified primarily as a lifestyle estate with controlled access rather than a fully enclosed security estate. This distinction carries practical consequences beyond perception, particularly in the South African short-term insurance market, and members should understand what it means before forming a view.

A lifestyle estate with controlled access is characterised by:

- Controlled entry and exit points — boomed gates, security guards, access registers;
- Active access management of all vehicles and visitors; but
- A perimeter that is not fully enclosed — open green belts, golf course boundaries, coastal paths or nature reserve areas where uncontrolled pedestrian access exists.

A fully enclosed security estate is characterised by:

- A continuous, unbroken physical perimeter barrier — electric fence, palisade, clearview mesh or wall;
- All pedestrian and vehicle movement channelled through monitored control points; and
- No uncontrolled points of access anywhere on the perimeter.

From an insurance underwriting perspective, the distinction matters in the following practical ways:

Factor	Lifestyle Estate (Controlled Access)	Fully Enclosed Security Estate
Burglary / theft risk rating	Reduced relative to open suburb — access control noted	Materially lower — continuous perimeter recognised
Short-term insurance premium	Modest discount possible; varies by insurer	More significant discount typically available
Insurer's test	Physical configuration assessed — not the marketing classification	Requires verified continuous perimeter, not self-classification

Key limitation	Any uncontrolled access point (trail, open boundary) limits the rating benefit	Any gap in the perimeter negates the classification
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It is worth noting that South African insurers assess the physical configuration of a property and its surroundings — not its marketing name. An estate that calls itself a security estate but has an unmonitored trail access point will not receive the full underwriting benefit of that classification. Conversely, a well-monitored camera system providing genuine early detection along an open boundary may achieve a meaningful risk reduction recognised by insurers, without the capital cost of physical fencing.

Members considering the insurance implications of the 2026 proposal should be aware that the transition from a lifestyle estate to a fully enclosed security estate is not simply a matter of erecting a fence — it requires a verified, continuous, unbroken perimeter with no exceptions. Given the Nature Reserve boundary involves 43.49 hectares of municipal land held under a Notarial Lease (see Section 4 below), achieving that standard involves considerably more than a Board or sub-committee decision.

4. The Legal and Procedural Framework Governing the St Blaize Boundary

I wish to bring to the Board's attention a number of legal instruments that govern the Nature Reserve boundary and that will determine the procedural path any fencing proposal must follow. I raise these not to obstruct the process but to ensure the Board and members understand what is actually involved, so that expectations are properly calibrated.

The relevant instruments are:

Notarial Lease — Erf 3438 (Protocol No. 875, registered 22 July 2004): The HOA holds a 99-year lease (1 January 1999 to 30 December 2098) over 43.4913 hectares of municipal land along the southern boundary, from the Municipality of Mossel Bay as Lessor. The Deeds Office confirms Erf 3438 is owned by the Municipality. The lease restricts use to nature reserve purposes only (Clause 5), guarantees public access to hiking trails (Clause 7), and permits fencing only in accordance with the environmental management plan and with the consent of the relevant authorities — including the Municipality and Cape Nature Conservation (Clause 9).

2022 Memorandum of Agreement with the Municipality: The existing camera installation on Erf 3438 is governed by a signed MOU approved under Council Resolution E30-02/2022. The MOU can only be varied in writing by both parties. Any fencing that materially alters the boundary or the camera arrangement would require the Municipality's written consent and potentially a new Council Resolution.

MOI Article 31.1: Any agreement creating material financial obligations exceeding the prescribed threshold requires prior approval of 60% of members at a general meeting. The Board has correctly applied this provision on every previous occasion involving this boundary — 2012, 2020, and the second camera approval. The same standard applies to any fencing proposal.

The practical procedural steps that would need to be followed before any fencing of the Nature Reserve boundary could proceed are therefore:

- Obtain a formal written position from the Municipality on whether Clause 9 consent would be granted, and whether a new Council Resolution is required;
- Obtain the consent of Cape Nature Conservation as a relevant authority under Clause 9;
- Confirm whether the current environmental management plan for the development permits perimeter security fencing, and if not, whether an amendment can be obtained;
- Determine whether any NEMA environmental authorisation is required for fencing in the coastal belt;
- Obtain an independent cost estimate (capital, maintenance, and levy impact per erf) for disclosure to members; and

- Table a formal resolution at a general meeting under Article 31.1 with full disclosure of all the above before any commitment is made.

These are not obstacles — they are the correct and necessary steps for a decision of this magnitude, and following them properly will protect both the Board and the membership.

5. The Importance of Open and Transparent Member Communication

The members of this estate have consistently demonstrated good judgement when given complete and accurate information. The 2012 vote — 156 against physical fencing — and the 2020 vote in favour of the camera-based Iron Curtain both reflect members making informed choices based on the facts placed before them.

For that process to work as it should, members need to receive:

- A frank and complete performance report on the existing Iron Curtain camera system — including what it has achieved, where it has limitations, and what the forensic report into the R400,000 contractor loss found;
- A clear explanation of what the practical and legal differences between a lifestyle estate and a fully enclosed security estate actually mean for this specific estate — including the constraints imposed by the Notarial Lease and the MOU;
- An honest assessment of the procedural path, timeline and cost involved in any fencing proposal before members are asked to form a view; and
- Any formal consultation conducted through a proper general meeting process, not an informal poll via the managing agent.

I have confidence that the Board and the Sub-Committee are approaching this in good faith and with the estate's best interests at heart. The purpose of this letter is simply to ensure that the full picture is on the table — for the Board's benefit as much as for the membership's — so that whatever direction is ultimately chosen is grounded in complete information and follows the correct process.

I am happy to discuss any of the matters raised in this letter and remain available to provide additional information if it would assist the Board or the Sub-Committee.

Yours faithfully,

I. Jacobs (Izak Jacobs)

Member — Erf 15227, 114 Myrica Drive

Mossel Bay Golf Estate

Date: 19 June 2026

*Primary documents referenced: (1) MBGE HOA 15th AGM Minutes and Ordinary Resolution 1 — Perimeter Fence, 13 December 2012; (2) AGM Ordinary Resolution — Iron Curtain Security, 21 December 2020; (3) Notarial Lease of Public Open Space — Erf 3438, Protocol No. 875, registered 22 July 2004 (K000000765*2004); (4) Memorandum of Agreement — HOA and Mossel Bay Municipality re St Blaize cameras, signed May/June 2022 (Council Resolution E30-02/2022); (5) Deeds Office title search — Erf 3438, 12 July 2004.*